undoubted importance. Withholding preferred dividends legally required to represent the interests of all stockholders impartially, but since in fact they are most often elected by the common stockholders they tend to act primarily in the latter's behalf. Directors have also grown accustomed to consider the interests of the enterprise itself, as an entity apart from the interests of its owners—*i.e.*, the stockholders—and they frequently pursue policies with the apparent purpose and result of strengthening the corporation at the actual expense of its proprietors. This paradoxical viewpoint may perhaps be explained in part by the customary close connection between corporate directors and the salary-drawing officers.[2]

Form of Preferred Contract Often Entails Real Disadvantage. Whatever the reason or justification may be, the fact remains that preferred stockholders are subject to the danger of interruption of dividend payments under conditions which would not seriously threaten the payment of bond interest. This means that the *form* of the preferred stockholder's contract will often entail a real disadvantage.

Example: A striking illustration of this fact is afforded by the case of United States Steel Corporation Preferred, which is probably the largest senior stock issue in the world, and was for many years thoroughly representative of those preferred shares which enjoyed a high investment rating. In 1931—although the depression was well advanced—this issue sold at a price to yield only 4.67%, and it was thought to occupy an impregnable position as a result of the accumulation of enormous sums out of the earnings during the preceding 30 years and their application to the improvement of manufacturing facilities, the enlargement of working capital, and the retirement of nearly all the bonded debt. Yet immediately thereafter, a single year of operating losses jeopardized the preferred dividend to such an extent as to destroy nearly two-thirds of its market price and undermine completely its standing as a prime investment. In the following year the dividend was reduced to $2 annually.

These disastrous developments were due, of course, to the unprecedented losses of 1932–1933. But if it had not been for the weakness of the preferred stock *form*, the holder of these shares would have had little reason to fear the discontinuance of his income. In other words, if he had possessed a *fixed* claim for interest instead of a contingent claim for div-

[2] See our further discussion of this point in Chap. 44 on Stockholder-Management Relationships.